

MEMORANDUM OF UNDERSTANDING (MoU)

This Memorandum of Understanding (MOU) is made on 17th September, 2020, at Lucknow, Uttar Pradesh.

BETWEEN

Governor of Uttar Pradesh (GoUP) through Shri Navneet Sehgal, Additional Chief Secretary, Micro, Small, Medium Enterprises and Export Promotion Department, Government of Uttar Pradesh (hereinafter referred to as "GoUP") of one part;

AND

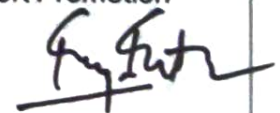
Small Industries Development Bank of India (SIDBI), a corporation established under the Small Industries Development Bank Act, 1989 (39 of 1989), having its head office at SIDBI Tower, 15, Ashok Marg, Lucknow - 226001, Uttar Pradesh (hereinafter referred to as "SIDBI", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include its successors and permitted assigns) of second part.

GoUP and SIDBI are herein after collectively referred to as "Parties" and individually as "Party".

WHEREAS ODOP (One District One Product) Cell is a programme implementation cell set up by Directorate of Industries, Government of Uttar Pradesh, to implement One District One Product programme of the State Government, having its principal office at Niryat Bhawan, First Floor, 8 Cantt Road, Qaiserbagh, Lucknow - 226001, Uttar Pradesh (hereinafter referred to as "ODOP Cell").

WHEREAS, SIDBI acts as the Principal Financial Institution for Promotion, Financing and Development of the Micro, Small and Medium Enterprise (MSME) sector as well as for co-ordination of functions of institutions engaged in similar activities.

AND WHEREAS, Government of Uttar Pradesh, through its Department of MSME & Export Promotion look after affairs of the industries, including MSMEs in the state of UP.



AND WHEREAS through this MoU, GoUP and SIDBI recognise that cooperation among the two parties will further accelerate the development of MSMEs in Uttar Pradesh in a structured and planned manner.

NOW, THEREFORE, THIS MoU WITNESSES as below:

I. ROLES AND RESPONSIBILITIES:

GoUP and SIDBI hereby agree to cooperate and to exchange information aimed at development of MSME ecosystem in Uttar Pradesh.

A) SIDBI as the MSME partner for the state of UP, shall facilitate :

1. development of a comprehensive plan for an organised development and growth of the MSMEs in the entire state.
 - a. The plan would be on the basis of scientific methods and would consider existing level of activities, potential, credit penetration using data mining and data analytics of relevant industry, credit and other socio – economic data for all the districts /existing and emerging / potential clusters in the state.
 - b. The comprehensive plan would be for a period of five years and would include the needs of credit and non financial interventions.
 - c. The same would be mapped on the basis of potential and the action plan to be drawn accordingly for phase wise implementation for better impact.
2. designing of scheme(s) in the areas of equity support, interest subvention, resolution of stressed MSMEs, learning events for MSME entrepreneurs and other need-based interventions based on evaluation of the existing status of MSMEs / related interventions in the state.
3. preparation of process for handholding MSME units in the state for their onboarding into digital platforms such as PSBLoansIn59Minutes, Stock Exchange listing, e-commerce platforms such as Government e-Marketplace (GEM) portal, etc.
4. camps or suitable platforms for connecting the beneficiaries of Vishwakarma Shram Samman Yojana (VSSY) scheme (through VSSY under which GoUP provides skill development training and advanced toolkit to workers engaged in services such as potters, ironsmiths, tailors, carpenters, barbers, goldsmiths, cobblers, masons, tokri makers and cooks along with traditional handicraft artisans), to Micro Financial Institutions (MFIs) for their capital/ working capital requirements.



5. conducting the diagnostic study on case-to-case basis for specific MSME issues, which shall be referred to it by Department of MSME & Export Promotion, GoUP.
6. assistance to formulate District level plans on the basis of DSRs (Diagnostic Study Report), recommending soft and hard interventions, prepared for each district with the help of 3rd party agencies by ODOP Cell.
7. support ODOP Cell in expediting its Common Facility Centre promotion scheme by appraising its DPRs (Detailed Project Reports) which are otherwise not covered under any other scheme (like Gol's MSE-CDP).
8. cluster mapping for emerging and potential clusters, for both credit and non financial needs, including in thematic areas such as energy saving, clean technology, etc. Also, good practices of other states may be considered for adoption / replication in the state of UP; for the purpose, capacity building of officials engaged in ODOP through exchange programme in other states may also be considered.
9. support to the state of UP in making necessary interventions for enhancing the effectiveness of the existing structure for rehabilitation/revival of stressed MSME units.
10. a framework for evaluating impact of interventions being made.
11. regular review mechanism for the activities undertaken to ensure effective implementation of the phase wise roadmap.
12. The activities envisaged above shall be carried out by a dedicated Project Management Unit (hereinafter referred to as "PMU") which shall be deployed by SIDBI. The PMU will work closely with State Implementation Team and would submit its progress report once every month, initially for one year and quarterly thereafter, to a High Level Committee comprising senior officials from both the parties under the chairmanship of Additional Chief Secretary, Department of MSME & Export Promotion, GoUP.

B) GoUP shall assist SIDBI and the PMU deployed by SIDBI in achieving the above-mentioned objectives by:

1. Identifying 'Nodal officers connect'. Further, the senior most officers at district and zonal level of the Department may be designated as members of the State Implementation Team for their respective operational areas and shall extend necessary support.
2. Sharing MSMEs related and other relevant database / information with SIDBI and its representatives / aggregators as also the officials / representatives of the PMU.



3. Providing infrastructure support to SIDBI and its aggregators as also the officials / representatives of the PMU to carry out its activities including trainings/ orientation workshops/ meetings/ events, etc.

II. PROJECT TIMELINE

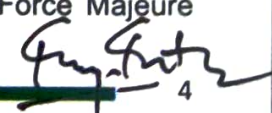
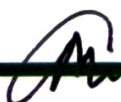
This MoU will commence from ~~17th September~~ 2020 and will continue till 5 years until any party desires to terminate this MOU by giving prior notice to other Party as per provision of Article V of this MOU.

III. OPERATIONS AND CO-ORDINATIONS

1. Each party will use information which is made available by the other party under this MOU solely for achieving the purpose of this MOU. However, if such purpose involves disclosing such information to third party or publishing such information in any form, then prior written consent of the other party should be obtained.
2. Each Party will bear its own costs in carrying out the purposes stated herein. Any sharing of cost for any special events or purposes may be as mutually agreed between the parties.
3. GoUP through its department of MSME & Export Promotion along with SIDBI shall mutually acknowledge the contribution of each other, wherever possible, on their website and media platforms including print, TV and digital media.
4. Any amendment in this MoU will be made in writing by mutual consent of both the parties.

IV. FORCE MAJEURE

1. For the purpose of this MoU 'force Majeure' means an event which is beyond the reasonable control of a Party, either GoUP through its department of MSME & Export Promotion or SIDBI and which makes a party's performance regarding its obligations hereunder impossible or so impracticable as reasonably to be considered impossible in the circumstances and include, but is not limited to war, riots, civil disorder, earthquakes, fire, explosions, storm, flood, and other adverse weather conditions, strikes, lock-outs, or other similar actions, political uncertainties, change in priorities in the National and State missions, which is not within the power of the Party invoking "force majeure" to prevent any other action by the other Party.
2. If any Party finds itself incapable to perform its duty due to Force Majeure, it will give notice to other Party that Force Majeure event has arisen.
3. The failure of any Party, either GoUP through its department of MSME & Export Promotion or SIDBI to fulfil any of its obligations is hereunder shall not be considered to be the breach of or default under this MoU in so far as such inability arises from an event of Force Majeure



provided that the Party affected by such event should take all reasonable precautions and due care for reasonably carrying out the terms and condition of this MoU.

4. In the event of a Force Majeure, GoUP, through its department of MSME & Export Promotion and SIDBI shall consult each other with a view to agreeing on appropriate measures to be taken under the circumstances.

V. TERMINATION This MoU can be terminated by either side with a written notice of 60 days. The termination/expiration of this MOU shall be without prejudice to any rights or obligations of the Parties that may have accrued prior to the termination.

VI. DISPUTES RESOLUTION

Any dispute between GoUP through its department of MSME & Export Promotion & ODOP Cell and SIDBI on any matter that has relevance to the smooth and effective implementation of the MoU shall be settled through mutual discussion.

IN WITNESS WHEREOF the Parties hereto have signed this MoU on the day and year first above written.

For and on behalf of Governor of
Uttar Pradesh


(Navneet Sengal)
Additional Chief Secretary,
Department of MSME & Export Promotion,
Government of Uttar Pradesh

For and on behalf of SIDBI


(Manoj Mittal)
Deputy Managing Director,
SIDBI

(मनोज मिश्र / Manoj Mittal)
उप प्रबंध निदेशक / Dy. Managing Director
भारतीय लघु उद्योग विकास बैंक लिमिटेड
Small Industries Development Bank of India, Ltd.

Witness 1
Name:
Signature:

Witness 2
Name:
Signature


Rakesh Kumar